

UNDERGROUND ECONOMIES IN GAMING AND PLAYER-DRIVEN REAL MONEY TRADE

Crowdfunded eSports + Real-Cash Virtual Economies for Gamers with Day Jobs

EXECUTIVE SUMMARY

Squad Jam Games is pioneering a global shift in eSports: one that dismantles the gamer wealth gap, rewards competitive skill directly, and builds real-money economies into tournament systems. We deliver on-demand, short-format PvP tournaments with real cash payouts, and create virtual item markets where players buy, sell, destroy, and insure their loot. Our games are for the 99% of gamers who work jobs, hustle part-time, and want their shot at a win.

This isn't speculative crypto, it's a working-class revolution in gaming economics.

THE PROBLEM: 30,000 TO 1

Globally, there are over 130M active players in top competitive games like League of Legends. Fewer than 5,000 make any consistent income through pro circuits or streaming. That's a 30,000:1 disparity.

We call this the **Gamer Wealth Gap**.

Systemic Symptoms and Barriers :

1. **Extreme Entry Costs:** eSports careers demand free time, talent, and infrastructure. Going into a pro eSports career requires both extreme time commitment & hyper-focused talent. Making money off of game streaming (Twitch, Youtube et al) requires luck and/or time commitment, up to decades of effort.) Getting "paid to play video games" is actually very difficult, even as a side-gig.
2. **Illegal Shadow Markets:** Real money trade (RMT) thrives underground due to bans from publishers [7]. Game companies have to specifically avoid liability for underground markets selling in-game items. (to fight money-laundering, etc)
3. **Ranking Corruption:** Boosting services create fake skill hierarchies and toxic incentive loops [8]. *"MMR Boosting (Match Making Rating, also known as Elo Boosting) or Rank Manipulation is an act where a player (The Booster) logs into another player's account (The Boostee) to play a ranked game."* There's even an underground market to boost tournament rankings.

Demand is massive. Supply is rigged. Value leaks everywhere.

THE OPPORTUNITY

Gamers already risk time and reputation in every match. They deserve real rewards. **The "gamer wealth gap" + high MAU + gaming underground markets, ** **all point to unrequited value.**

Across all of eSport-capable gaming titles, and also MMOs. In global gaming, novel sources of income are in high demand. People, especially Gamers, want reasonable access to "hustle money".

Squad Jam's solution is simple: Crowdfunded eSports + **"Gamers w/ Etsy Shops for their loot"**.

Phase 1: Crowdfunded eSports for Everyone

- Pay \$1 to enter a tournament.
- Compete in short-form, skill-based PvP ladders.
- Prize pool = crowdfunded from player entry.
- Win real money. No teams required.

Phase 2: Real-Cash Item Markets

- All loot earned through PvP.
- Items can be destroyed, salvaged, repaired, or sold.
- Insurance and destruction drive scarcity.
- All item value is player-generated.

THE PHILIPPINE ADVANTAGE

Squad Jam operates from a hybrid U.S.-Philippines studio. This grants:

- **Lower cost of operations** with high talent density.
- **Local eSports market fit** with high mobile adoption and rising gamer culture [9].
- **Cultural authenticity** through stylized, Filipino-inspired storytelling.

Our team is 95% Filipino. We ship fast, design with grit, and keep development costs low.

GAMEPLAY & TOURNAMENT DESIGN

- **Solo-first:** 1v1, Battle Royale, Round Robin modes.
- **Anonymous competition:** No player names, no collusion.
- **Schedule or play-on-demand.**
- **Verify through KYC** to reduce laundering, cheating.
- **Peer-reviewed adjudication** for community integrity.

All matches are brutally fair, high-stakes, and cash-driven.

ECONOMIC LOOP

We propose a thermodynamically efficient loop of virtual production and real-cash economic flow. Every in-game item represents a time-and-skill-derived artifact of value, which:

- **Originates** in tournament combat (primary minting event)
- **Circulates** through player trade, insurance, or recycling (market activity)
- **Terminates** in destruction or expiration (economic entropy)

This ensures scarcity and value retention via entropy and irreversible loss, mapping closely to real-world digital scarcity models.

Key dynamics:

- **Crafting:** Only during tournament events
- **Burning:** Encouraged by high volatility, risk-based mechanics
- **Insurance:** Generates premium flow, mitigates total loss
- **Market Pricing:** Fully player-driven, with Squad Jam acting as escrow and broker

These principles align with digital microeconomics and bounded token economies, but without dependency on cryptocurrency or blockchain protocols.

MONETIZATION MODEL

Revenue Streams:

- Tournament entry fees (flat \$1/player)
 - Tournament items (powerups, retries)
 - Insurance policies
 - Real-money transaction brokerage
 - Crowdfunding (Kickstarter per game)
 - Mobile derivatives with ad revenue
 - Rapid-ship indie games every 3–6–12 months
-

ETHOS: NO AAA. NO OVERPRODUCTION.

Squad Jam is fiercely indie. We:

- Ship every 3–6–12 months
- Recycle code and assets
- Build tournament games + single-player spinoffs
- Never raise budgets beyond \$250K per game

We reject the sunk-cost fallacy of AAA studios and instead model ourselves after lean, recursive prototyping systems seen in aerospace and insurgent R&D.

VISION: FIVE TO ONE

We aim to close the Gamer Wealth Gap from 30,000:1 to **5:1**. One in five gamers should earn money through Squad Jam titles.

CITATIONS FROM ACADEMIA

- Castronova, E. (2001). Virtual worlds: A first-hand account of market and society on the cyberian frontier. CESifo Working Paper Series No. 618. [https://papers.ssrn.com/sol3/papers.cfm?abstract_id=294828]
 - Nakamura, L. (2009). Don't hate the player, hate the game: The racialization of labor in World of Warcraft. *Critical Studies in Media Communication*, 26(2), 128–144.
 - Lehdonvirta, V., & Ernkvist, M. (2011). *Converting the Virtual Economy into Development Potential: Knowledge Map of the Virtual Economy*. World Bank.
 - Dibbell, J. (2006). *Play Money: Or, How I Quit My Day Job and Made Millions Trading Virtual Loot*. Basic Books.
 - Yee, N. (2006). The Demographics, Motivations, and Derived Experiences of Users of Massively Multi-User Online Graphical Environments. *PRESENCE: Teleoperators and Virtual Environments*, 15(3), 309–329.
-

FINANCIAL PROJECTION SIMULATION (YEAR ONE MODEL)

Metric	Conservative	Moderate	Aggressive
Registered Players	10,000	100,000	1,000,000
Daily Tournament Entry (Avg.)	500	5,000	50,000
Monthly Revenue (Entries)	\$15,000	\$150,000	\$1,500,000
Power-up/Retry Sales	\$3,000	\$30,000	\$300,000

Insurance Premium Revenue	\$2,000	\$20,000	\$200,000
Player Trade Fees	\$500	\$5,000	\$50,000
Crowdfunding/Ad Revenue	\$5,000	\$25,000	\$100,000
Total Monthly Revenue	\$25,500	\$230,000	\$2,150,000
12-Month Projection	\$306,000	\$2.76M	\$25.8M

Assumptions:

- Average player spends \$1.50–\$2.00 per tournament.
- Power-up purchase rate is ~10% of tournament participants.
- Insurance purchased by ~5% of active users.
- Crowdfunding and ad revenue scale nonlinearly with player base.

PLAYER RETENTION SIMULATION

Month	New Signups	Active Players	Churn Rate	Retained Players
1	10,000	10,000	—	10,000
2	5,000	12,000	30%	8,400
3	4,000	10,280	25%	7,710
4	4,000	9,557	20%	7,646
5	3,000	8,476	15%	7,204
6	3,000	8,123	12%	7,149

- **Churn Rate** is projected to drop as systems mature and player incentives increase.
- **Retention increases** through item ownership, skill-based progression, and tournament earnings.
- **Long-term DAU (daily active users)** stabilizes between 65–75% of active player base after 6 months.

UNIT ECONOMICS (PER ACTIVE PLAYER PER MONTH)

Revenue Source	Value (USD)
Tournament Entries	\$4.50
Retry & Powerup Sales	\$2.00
Insurance Premiums	\$0.75
Player Trade Brokerage	\$0.25
Crowdfunding/Ads	\$1.25
Total Revenue/Player	\$8.75

- **Cost of Service/Player:** \$2.00 (servers, dev, moderation, support)
- **Gross Margin/Player:** \$6.75
- **Monthly Break-Even:** ~3,000 DAU

These unit economics validate Squad Jam's capacity for sustained profitability at indie scale and high-margin scalability across regional markets.

REFERENCES

[7] Square Enix RMT Policy:

<https://support.na.square-enix.com/faqarticle.php?id=5382&kid=68095>

[8] Riot Games MMR Boosting:

<https://support-leagueoflegends.riotgames.com/hc/en-us/articles/201751834-MMR-Elo-Boosting-Rank-Manipulation>

[9] FWD Philippines - Online Gaming Growth:

<https://www.fwd.com.ph/blog/passion/the-rise-of-online-gaming-in-the-philippines/>

Squad Jam Games

Real Money. Real Loot. Real Fight.